

ANALYTICAL REPORT

Foreign Demand for US Securities

A monitoring framework using Treasury International Capital Form SLT data

Coverage	Latest period	Frequency
Foreign holdings of US long-term securities	2026-05	Monthly

Headline result Foreign residents held \$39.17 trillion in US long-term securities in 2026-05. The position increased \$1,416.7 billion from the preceding month.

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Analysis based on public U.S. Treasury data

Executive Summary

This report examines foreign holdings of US long-term securities and demonstrates a repeatable monitoring process for identifying material changes, measuring concentration, and organizing country portfolios by composition. The analysis uses the Treasury International Capital (TIC) Form SLT Table 1 dataset and retains the February 2023 break in transaction and valuation reporting.

- Foreign residents held \$39.17 trillion at the latest reporting date.
- The monthly position change was \$+1,416.7 billion. Reported net transactions were \$+262.8 billion and valuation changes were \$+1,233.1 billion.
- The five largest country positions represented 43.5% of covered country holdings; the effective number of equally sized holders was 18.3.
- The latest 12-month monitoring window produced 184 review items, of which 90 were classified as high priority.

Interpretation The review queue is a screening tool. A large statistical score or reconciliation residual identifies an observation that warrants follow-up; it does not establish that the reported value is wrong.

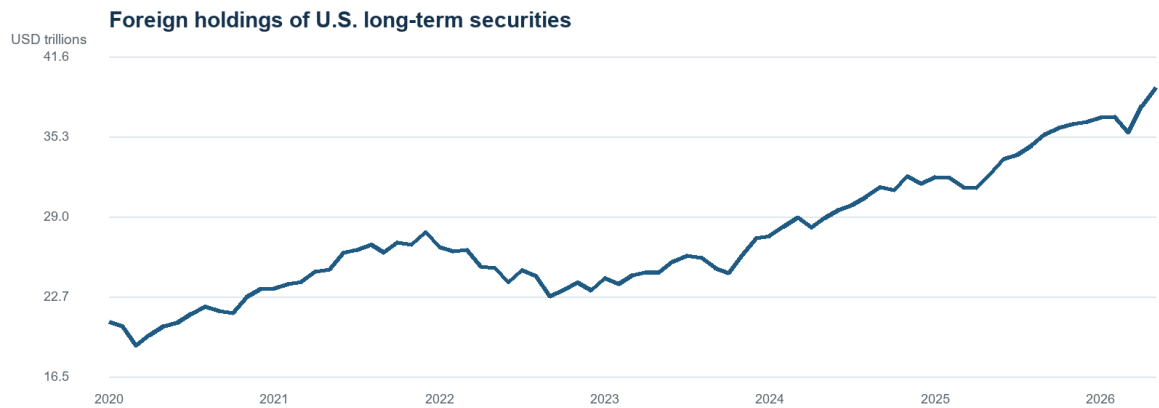


Figure 1. Source: US Department of the Treasury, TIC Form SLT Table 1; author calculations.

1. Data and analytical scope

TIC Form SLT Table 1 reports monthly foreign holdings of US long-term securities at current market value. The source distinguishes Treasury securities, agency bonds, corporate bonds, and corporate equity, and provides country and published aggregate rows. This analysis excludes aggregate labels from country rankings and concentration calculations.

Dimension	Coverage
Time	Monthly observations from 2020-01 through 2026-05
Geography	Country rows; published regional and memorandum aggregates excluded
Security types	Treasuries, agency bonds, corporate bonds, and equity

Dimension	Coverage
Measures	Positions, net US sales, valuation changes, and calculated residuals

Table 1. Analytical coverage. Source: TIC SLT Table 1 and project methodology.

Reporting break

Expanded Form SLT reporting introduced transaction and valuation-change fields beginning in February 2023. Values before that date remain missing rather than being treated as zero. Position trends can be compared across the full sample, while flow and valuation analysis is limited to the post-break period.

2. Market profile

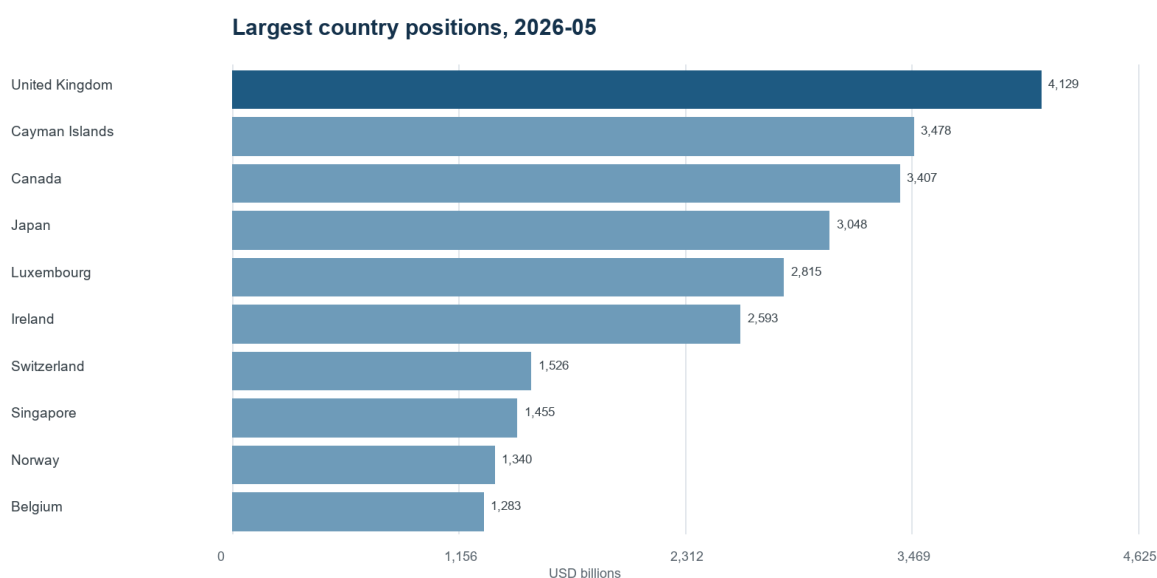


Figure 2. Largest non-aggregate country positions in 2026-05. USD billions.

Rank	Country	Holdings (\$bn)	Treasury share
1	United Kingdom	4,129.4	20.5%
2	Cayman Islands	3,478.3	9.0%
3	Canada	3,406.8	11.5%
4	Japan	3,048.2	34.4%
5	Luxembourg	2,814.8	12.3%
6	Ireland	2,593.3	9.4%
7	Switzerland	1,526.3	14.8%
8	Singapore	1,454.6	18.0%
9	Norway	1,340.3	15.4%

Rank	Country	Holdings (\$bn)	Treasury share
10	Belgium	1,282.7	30.4%

Table 2. Country attribution may reflect custodial and financial-center activity.

The ranking is dominated by large financial centers and major reserve-holding economies. The United Kingdom, Cayman Islands, Luxembourg, and Ireland may reflect substantial intermediary and custodial activity. Country positions therefore should not automatically be interpreted as the location of the ultimate beneficial owner.

3. Concentration

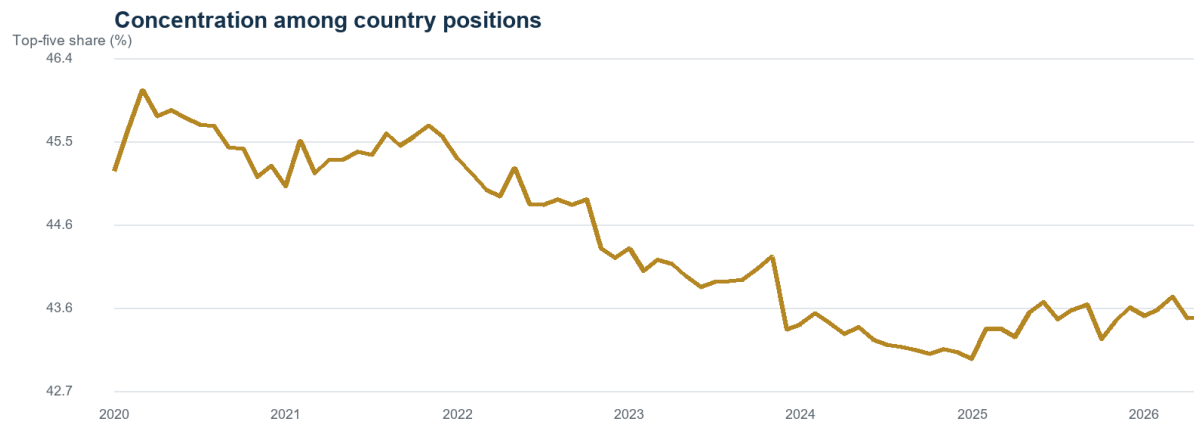


Figure 3. Top-five country share since 2020. Author calculations.

Metric	Latest value	Interpretation
Top-five share	43.5%	Share of covered country positions held by the five largest rows
HHI	0.0546	Sum of squared country shares
Effective number	18.3	Reciprocal of HHI; equivalent equally sized holders

Table 3. Concentration measures use non-aggregate country rows with positive positions.

Concentration measures provide a horizontal view of reliance on large foreign holders. The top-five share is intuitive, while HHI incorporates the full distribution. The effective-number transformation expresses HHI in more interpretable terms: the current distribution is equivalent to approximately the reported number of equally sized country positions.

4. Anomaly and residual monitoring

Position-change test

For each country and security type, the current monthly dollar change is compared with the preceding 24 monthly changes. The score uses the historical median and median absolute deviation (MAD),

requiring at least 12 prior observations. A position-change item requires an absolute robust z-score of at least 4 and a dollar change of at least \$500 million.

Change reconciliation

For post February 2023 observations, the residual equals the change in holdings minus net US sales and valuation change. A residual item requires an absolute residual of at least \$500 million and at least 5 percent of the prior position.

Date	Country	Security	Test	Robust z	Residual
2026-05	Saint Kitts and Nevis	Corporate bonds	Position	141.3	70.6%
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2026-05	Cayman Islands	Agency bonds	Position	12.7	-1.5%
2026-05	United Arab Emirates	Corporate bonds	Position	11.9	-2.1%
2026-05	Kazakhstan	Treasuries	Residual	1.5	-22.2%
2026-05	Mauritius	Treasuries	Residual	1.0	62.1%
2026-04	Cyprus	Corporate bonds	Residual	-1.3	-61.2%
2026-04	Mauritius	Treasuries	Residual	-1.2	45.2%
2026-04	United Kingdom	Agency bonds	Residual	1.0	-10.5%
2026-04	Kazakhstan	Treasuries	Residual	-0.7	-27.3%
2026-04	Ukraine	Treasuries	Residual	-0.6	-19.5%
2026-03	Saint Kitts and Nevis	Corporate bonds	Position	58.9	35.9%

Table 4. Highest-priority items from the latest 12-month monitoring window.

Review sequence Confirm the source record and reporting vintage; compare the movement with transactions and valuation; check reclassifications and revisions; document the conclusion and any follow-up.

5. Portfolio groups

Countries with at least \$10 billion in total holdings are grouped using k-means on four portfolio shares: Treasuries, agency bonds, corporate bonds, and equity. The grouping is descriptive and is intended to support peer comparison rather than causal interpretation.

Portfolio group	Countries	Largest examples
Equities-oriented	37	United Kingdom, Cayman Islands, Canada, Luxembourg
Treasuries-oriented	18	Japan, China, Mainland, Taiwan, Hong Kong
Corporate bonds-oriented	4	Belgium, Bermuda, Barbados, Saint Kitts and Nevis

Table 5. Latest-period k-means assignments; countries below \$10 billion are excluded.

Portfolio groups create a practical peer framework. A large movement may be more informative when compared with countries that hold similar asset mixes than when compared with the entire cross-section. Cluster membership should be recalculated as new data arrive and reviewed for stability.

6. Conclusions

The project combines market analysis with data-quality monitoring. It shows the scale and composition of foreign demand, measures cross-country concentration, and converts unusual observations into a review queue with traceable thresholds. The approach is deliberately explainable: each item can be traced to a material dollar movement, a robust historical score, or a reconciliation residual.

- Use the trend and concentration measures for recurring monthly surveillance.
- Review high-priority items before drawing conclusions from country-level movements.
- Retain source vintages to separate genuine revisions from calculation changes.
- Recalibrate thresholds by monitoring the volume and disposition of review items.

Appendix A. Key formulas

Measure	Definition
Robust z-score	$0.6745 \times (\text{current change} - \text{trailing median}) / \text{trailing MAD}$
Residual	Change in holdings - net US sales - valuation change
HHI	Sum of squared country shares
Effective number of holders	$1 / \text{HHI}$

Thresholds: $|z| \geq 4$ and $|\text{change}| \geq \$500$ million; residual $\geq \$500$ million and $\geq 5\%$ of prior position.

Appendix B. Limitations

- TIC country attribution may identify a custodian or intermediary rather than the ultimate owner.
- Positions are measured at current market value and can change with prices and exchange rates.
- The February 2023 reporting change limits the continuity of transaction and valuation fields.
- Residuals can include rounding, revisions, and adjustments not reported separately.
- Statistical thresholds prioritize review and do not determine whether a published observation is erroneous.

Data Sources

US Department of the Treasury. Treasury International Capital System, Form SLT Table 1, US Long-Term Securities Held by Foreign Residents. https://ticdata.treasury.gov/resource-center/data-chart-center/tic/Documents/slt_table1.txt